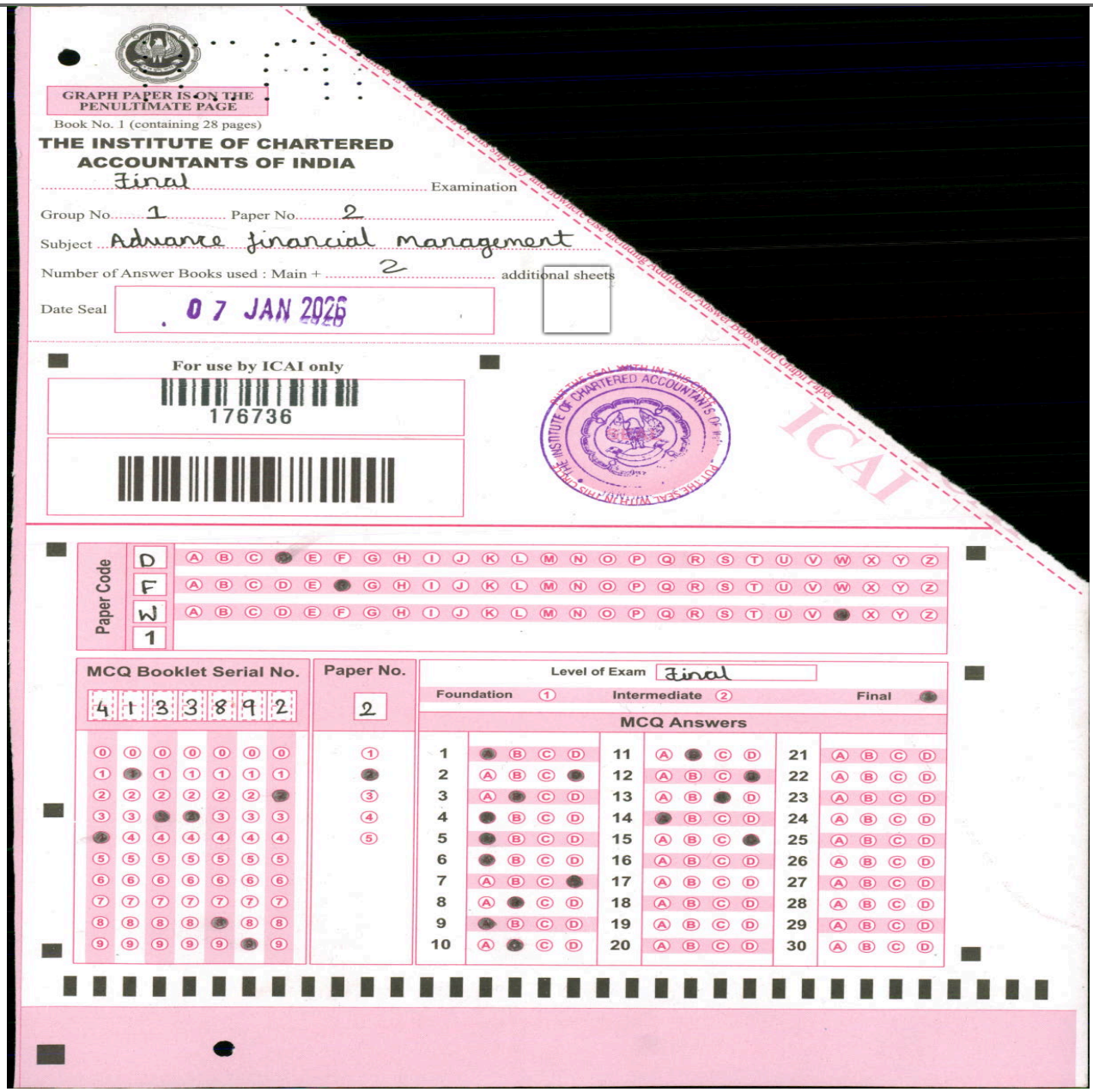
The Institute of Chartered Accountants of India

Code:	**FN2AF176736**	**Total Marks:**	**70**
Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**48**



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Book No. 1 (containing 28 pages)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

Final Examination

Group No. 1 Paper No. 2

Subject Advance financial management

Number of Answer Books used : Main + 2 additional sheets

Date Seal 07 JAN 2026

For use by ICAI only

176736

ICAI

Paper Code: D F W 1

MCQ Booklet Serial No.: 4 1 3 3 8 9 2

Paper No.: 2

Level of Exam: Final (Foundation ① Intermediate ② Final)

MCQ Answers

1	B	11	B	21	
2	D	12	D	22	
3	B	13	C	23	
4	A	14	A	24	
5	A	15	D	25	
6	A	16		26	
7	D	17		27	
8	B	18		28	
9	A	19		29	
10	B	20		30	

The Institute of Chartered Accountants of India

Code: FN2AF176736 **Total Marks:** 70
Subject : 02 Advanced Financial Management **Marks Obtained :** 48

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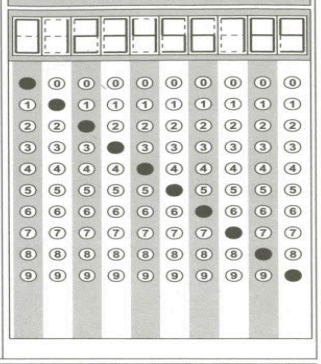
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Illustration for Filling the MCQ Booklet Serial No.



UCTIONS TO THE CANDIDATE FOR FILLING THE MCQ ANSWER FIELDS

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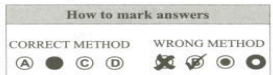
nd darken the correct MCQ Booklet Serial No. as printed on your question booklet which will be taken as final for evaluation.

ase any candidate fills in this information wrongly, Institute will not take any responsibility for rectifying the mistake.

Please darken the complete circle.

4. If you want to change your Answer, erase the darkened circle completely and make a fresh mark.
5. Please do NOT make any stray marks on the OMR cover page.
6. Rough work must NOT be done on the OMR cover page.
7. Mark your answer only in the appropriate space against the number corresponding to the question.

How to mark answers



Q. No.	To be ticked ✓ by the candidate against the Questions answered (Descriptive Type)		
1	✓	8	
2	✓	9	
3		10	
4	✓	11	
5	✓	12	
6	✓	13	
7		14	
Total		Total	

03

Q 5.] a.)

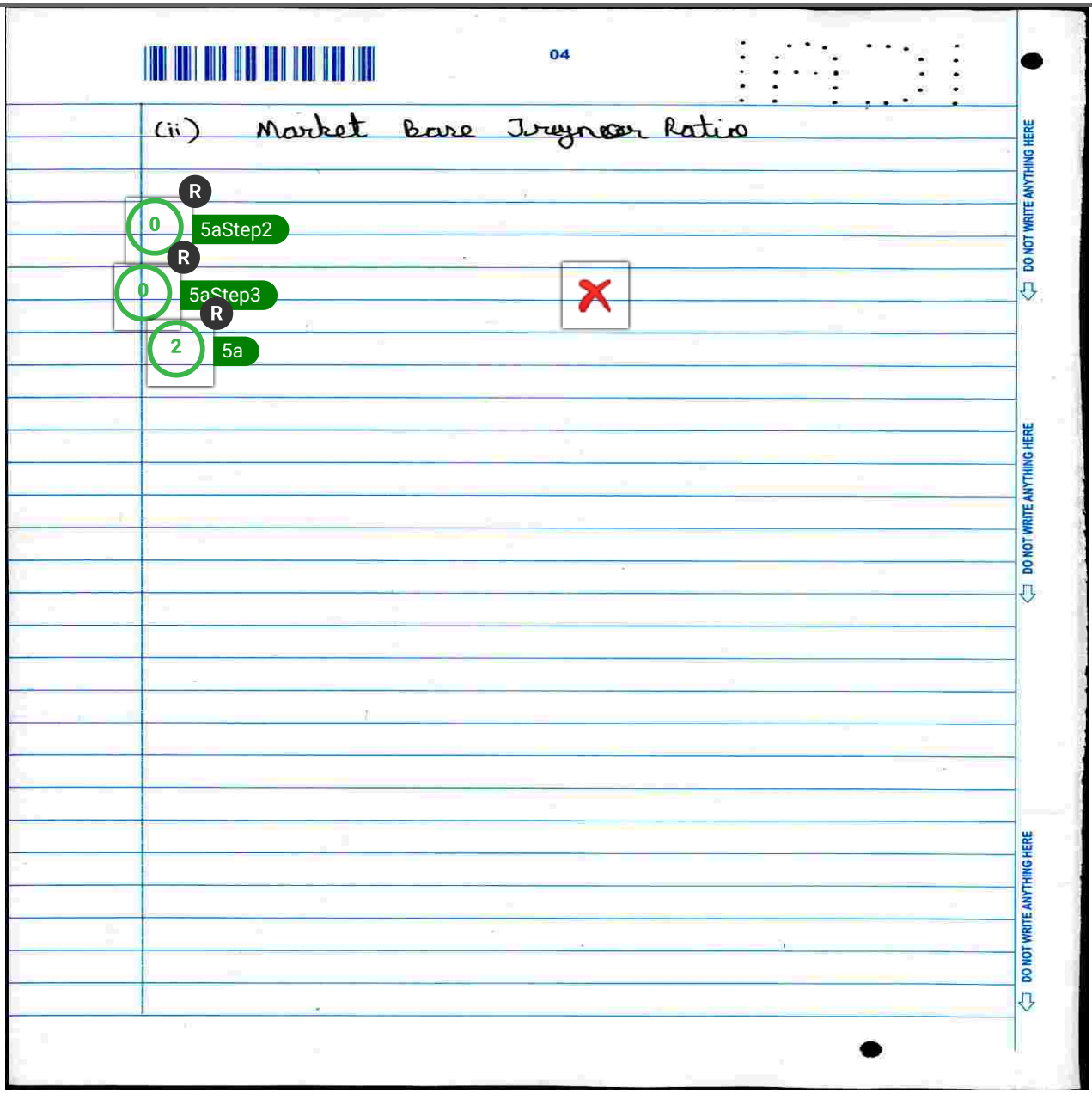
Sol- Treynor Ratio = $\frac{ER - RF}{\beta}$

(i) Rank Table

Security	Treynor's Ratio	Ranking
A	$\frac{5\% - 7\%}{0.5} = -4$	V
B	$\frac{25\% - 7\%}{2.5} = 7.2$	III
C	$\frac{15\% - 7\%}{1} = 8$	I
D	$\frac{10\% - 7\%}{1.5} = 2$	IV
E	$\frac{20\% - 7\%}{1.8} = 7.22$	II

R 2 5aStep1

Code:	FN2AF176736	Total Marks:	70
Subject :	02 Advanced Financial Management	Marks Obtained :	48



05

Q 5] b)

Sol -

Fund Required = $ 14.775 m

Cal^{n} of Net Proceeds -

Issue price = 7 x 500 x (1 − 7%)
per GDR = 3255 ✔

Net proceeds per GDR = 3255 (1 − 1.5%)
= 3206.175 ✔

1 GDR price = $\frac{3206.175}{81.3750}$ = $ 39.4
Net proceeds ($)

Issue price per GDR ($) = $\frac{3255}{81.3750}$ = $ 40 ✔

R
3 5bStep1

No. of GDR's to be issued = $\frac{\text{Funds required}}{\text{Net proceeds}}$

= $\frac{\$ 147.75 \text{ lacs}}{\$ 39.4}$

∴ No. of GDR's to issue = 3.75 lacs ✘

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06

Cost of GDR = $\left[\frac{D_1}{P_0} \times 100\right] + g$

$D_1 = 7 \times 100 \times 15\% = 105$

$P_0 = 3206.175$

$g = 10\%$

$= \left[\frac{105}{3206.175} \times 100\right] + 10\%$

∴ Cost of GDR = 13.275%

R 2 5bStep2
R 5 5b
R 7 5

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07

Q 1.] a.)

Sol-

~~Average Annual yield = 16.8%.~~
~~Annual yield = 16.8% x 6~~
~~= 100.8%.~~

Sol-

Average Annual Yield = 16.8%.

$$\text{Annual Yield} = \text{Holding period Return} \times \frac{1}{6}$$

$$16.8\% = \text{HPR} \times \frac{1}{6}$$

$$\therefore \text{HPR} = 100.8\%$$

$$100.8\% = \frac{\text{Value of Investment as on } 31|3|25 - 25,00,000}{25,00,000} \times 100$$

$$\therefore \text{Value of Investment as on } 31|3|25 = 50,20,000$$

$$\therefore \text{No. of units of Mutual fund as on } 31|3|25 = \frac{50,20,000}{110}$$

$$= 45,636.36$$

08

Let No. of units on 30th Sep, 2023 [Before Bonus] be 'x' units

$45,636.36 = x + x \times \frac{2}{5}$

$\therefore x = 32,597.4$ ✓

∴ No. of units on 30th Sep, 2023 = 32,597.4 units before Bonus

Bonus units = 13,038.96

Let No. of units on 30th Sep, 2021 (Before Bonus issue) be 'y' units

R 4 1aStep1

$32,597.4 = y + y \times \frac{1}{4}$

$\therefore y = 26,077.92$ 4 ✓

∴ No. of units on 30th Sep, 2021 = 26,077.92 (Before bonus)

∴ Bonus units = 6519.48

∴ Opening NAV per unit as on 1st April, 2019 = $\frac{25,00,000}{26077.92}$

R 2 R aStep2 6 1a

✓ 95.87 approx

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09

Q 1] b.)

Sol-

Promotor holding = 84%.

No. of shares held by promotor = 126 lakhs.

PAT = 9.60 cr.

Free float Market cap = 38.40 cr.

∴ Market capitalisation = $\frac{38.40 \text{ cr.}}{16\%}$

= 240 cr.

(i) P/E Ratio

MPS (Before Bonus) = $\frac{240 \text{ cr.}}{1.5 \text{ cr.}}$ = 160 per share

Original Shareholder = $\frac{126 \text{ lakhs}}{84\%}$ = 150 lakhs.

EPS (Before Bonus) = $\frac{9.60 \text{ cr.}}{1.5 \text{ cr.}}$ = Rs. 6.4

∴ P/E Ratio = $\frac{MPS}{EPS}$ = $\frac{160}{6.4}$ = 25

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10

(ii) Bonus Ratio

No. of share after Bonus Issue = $\frac{1.26 \text{ cr.}}{75\%}$

= 1.68 cr.

No. of shares of promoter = 1.26 cr.

No. of shares to Non-promoter = 0.42 cr.

Bonus shares issued = 0.42 cr. − 0.24 cr.

= 0.18 cr.

0.18 cr. 0.24 cr.

x 1

∴ Bonus Ratio = $\frac{0.18 \text{ cr.}}{0.24 \text{ cr.}}$ = 0.75

∴ Bonus Ratio = $\frac{3}{4}$

(iii) MPS after bonus

~~Market Capitalisation~~

Market capitalization = 9.60 cr. × 25

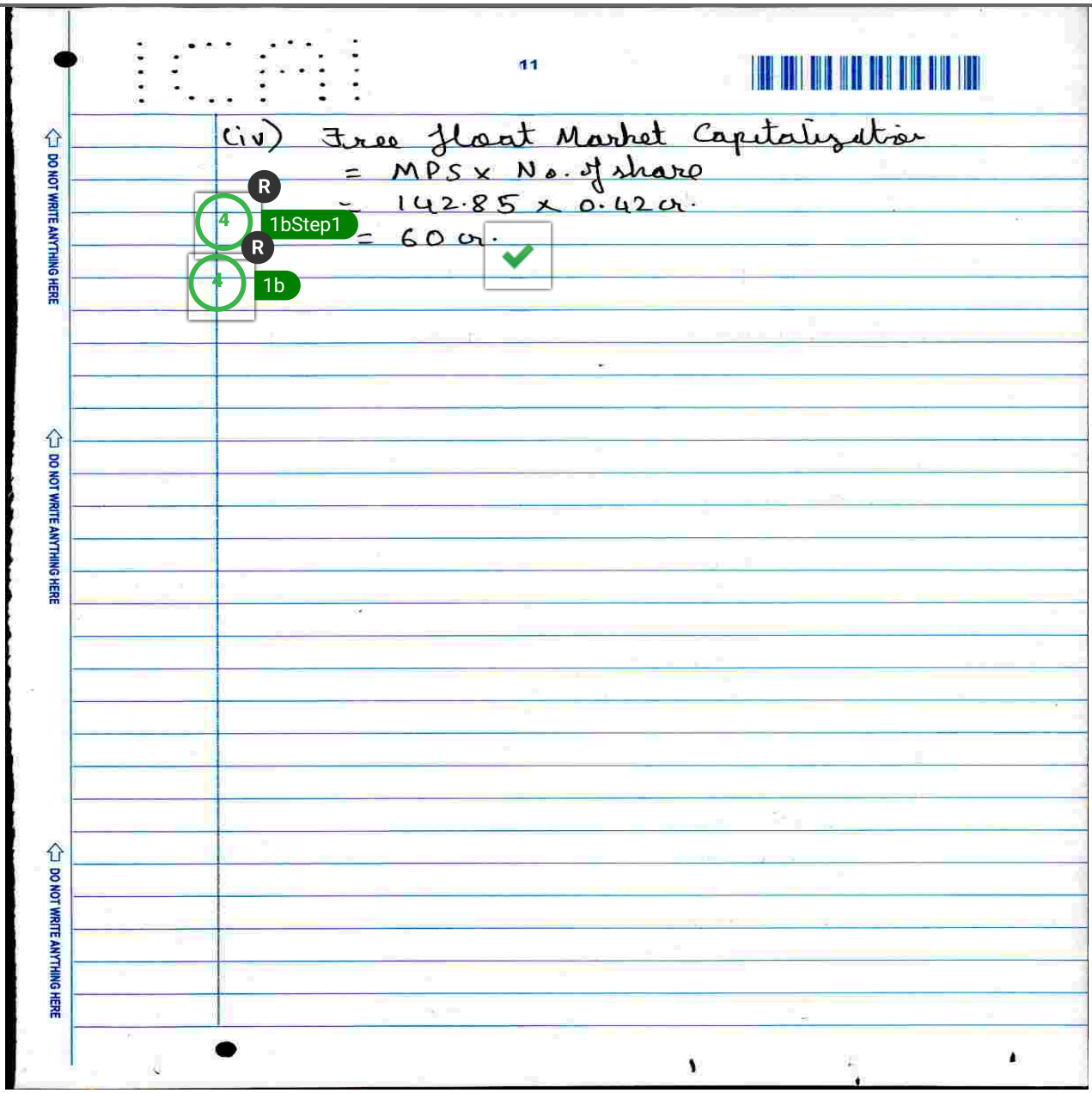
= 240 cr.

∴ MPS = $\frac{240 \text{ cr.}}{1.68 \text{ cr.}}$ = 142.86 approx

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11
(iv) Free float Market Capitalisation
= MPS x No. of share
= 142.85 x 0.42 cr.
= 60 cr.
4
1bStep1
4
1b
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12

Q 1.] c.)

Sol-

(i) Cal^n of net profit / loss

Share price on expiration = Rs. 550

~~Particulars~~ ~~Call option~~ ~~Put option~~

Particulars	Call option
Price	550
less: Strike price	(620)
Pay off	Nil
less: Premium	(42)
Net ~~Profit~~ loss	(42)

∴ Total loss = (42) × 150 = (6300)

Particulars		Put option
Price Strike	480	~~550~~
less: ~~Strike~~ price	(550)	~~(480)~~
Pay off	Nil	
less: Premium	(8)	
Net loss	(8)	

∴ Total loss = (1200)

∴ Total loss on both option = (7500)

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13

Share price on expiration = Rs. 380

Particulars	Call option
Price	380
less: Strike price	(620)
Pay off	Nil
less: Premium	(42)
Net loss	(42)

Total loss on call option = (42) × 150
= (6300)

Particulars	Put option
Strike price	480
less: Price	(380)
Pay off	100
less: Premium	(8)
Net gain	92

Total gain on Put option = 92 × 150
= 13,800

Net Gain on both = 7500

14

Share price = 680

Particulars	Call option
Price	680
Less: Strike price	(620)
	60
Less: Premium	(42)
Net gain	18

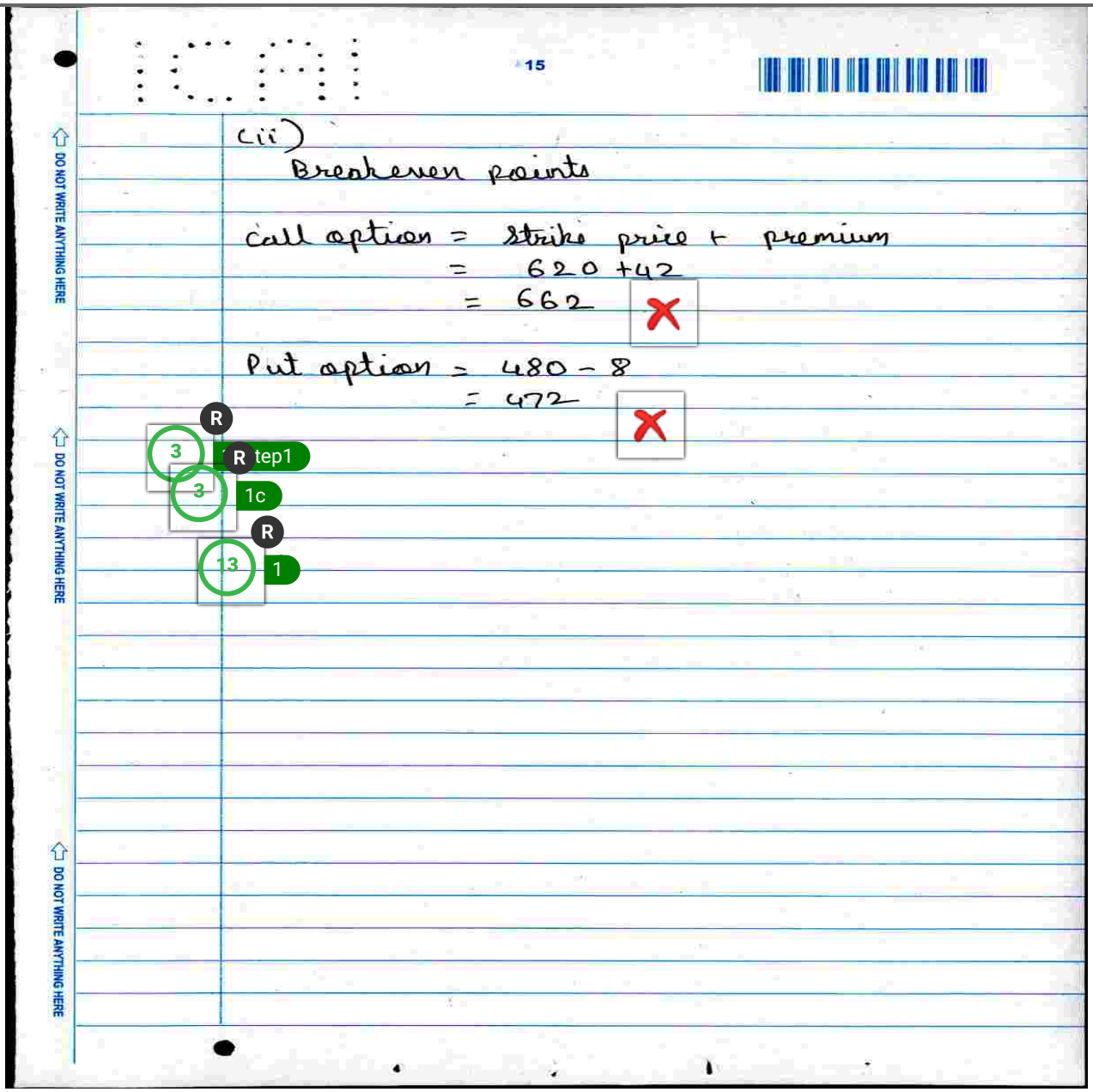
Total gain on call option = 18 × 150
= 2700

Particulars	Put option
Strike price	480
Less: Price	(680)
	Nil
Less: Premium	(8)
Net loss	(8)

∴ Total loss on put option = (1200)

∴ Net gain = 1500

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15
(ii)
Breakeven points
Call option = Strike price + premium
= 620 + 42
= 662
Put option = 480 - 8
= 472
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16

8 Q 4.] a.)

Sol-

(i) AB Ltd wants to borrow fund can opts for Cap option to hedge the risk of Interest rate fluctuations.

Whereas, XY Ltd wants to Deposit the fund can opts for Floor option to hedge the risk of Interest rate fluction.

In cap option if the rate exceeds the strike price ~~the~~ Cap off will be received as differential. And in case of floor option rate falls below strike rate the depositor will receive floor pay off.

R 2 4aStep1

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17

(ii)

Premium paid by AB Ltd = 50,00,000 × 0.4%.
= 20,000

∴ Premium for each period = $\frac{20,000}{8.1109}$ = 2465.82
Reset period

PVAF @ 8% p.a = 8.1109
for 10 half yr

Premium paid by XY Ltd = 20,00,000 × 0.5%.
= 10,000

∴ Premium for each = $\frac{10,000}{5.2421}$ = 1907.63
Reset period

PVAF @ 8% p.a for = 5.2421
6 half yr

(iii) Net gain/loss
Caps option

Pay off = (10% − 8%) × 50,00,000 × $\frac{6}{12}$

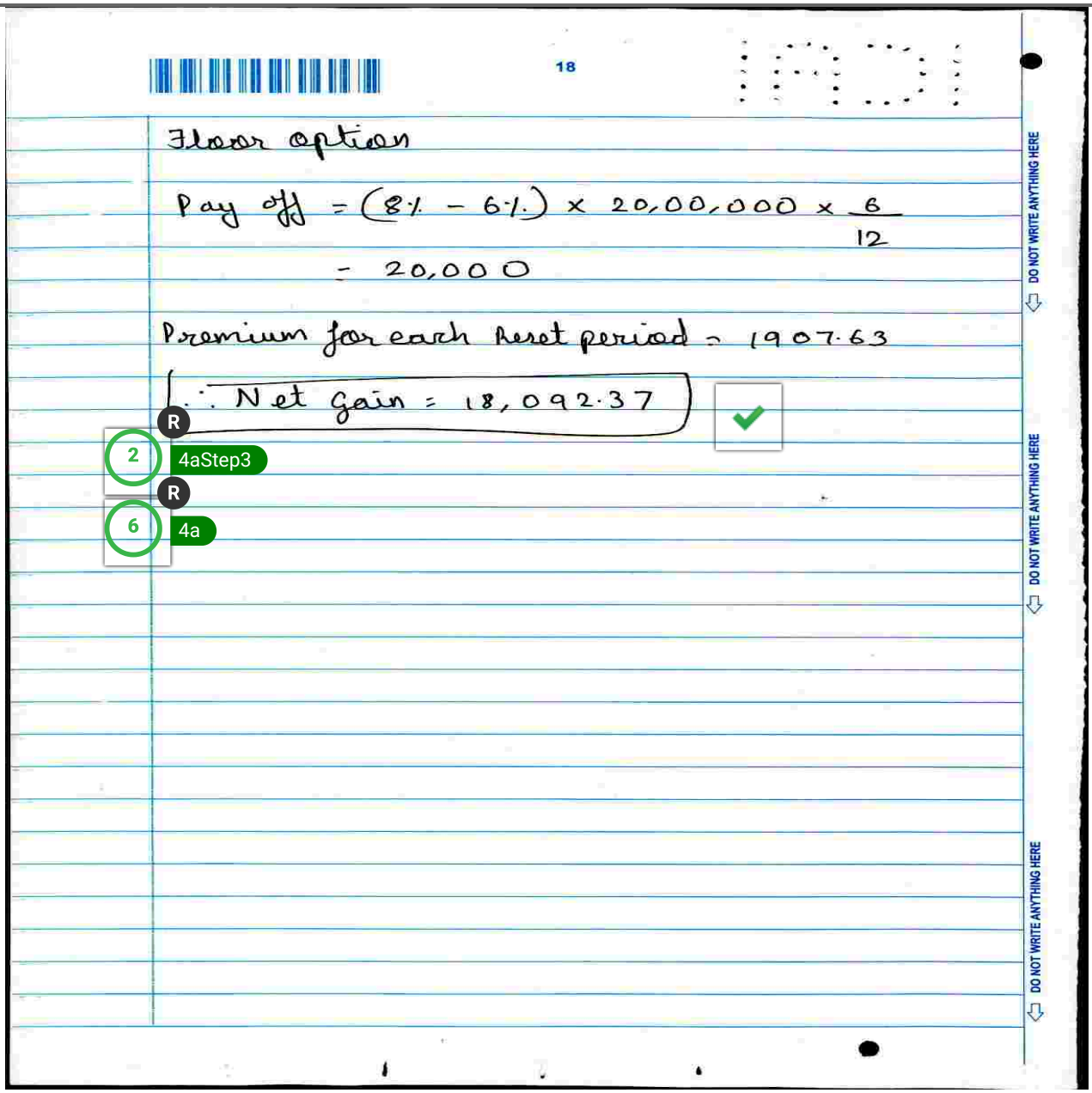
= 50,000

Premium for each period = ~~50,0~~ 2465.82

∴ Net gain = 47,534.18

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R 2 4aStep2



18

Floor option

Pay off = (8% − 6%) × 20,00,000 × 6/12

= 20,000

Premium for each Reset period = 1907.63

∴ Net Gain = 18,092.37

R

2 4aStep3

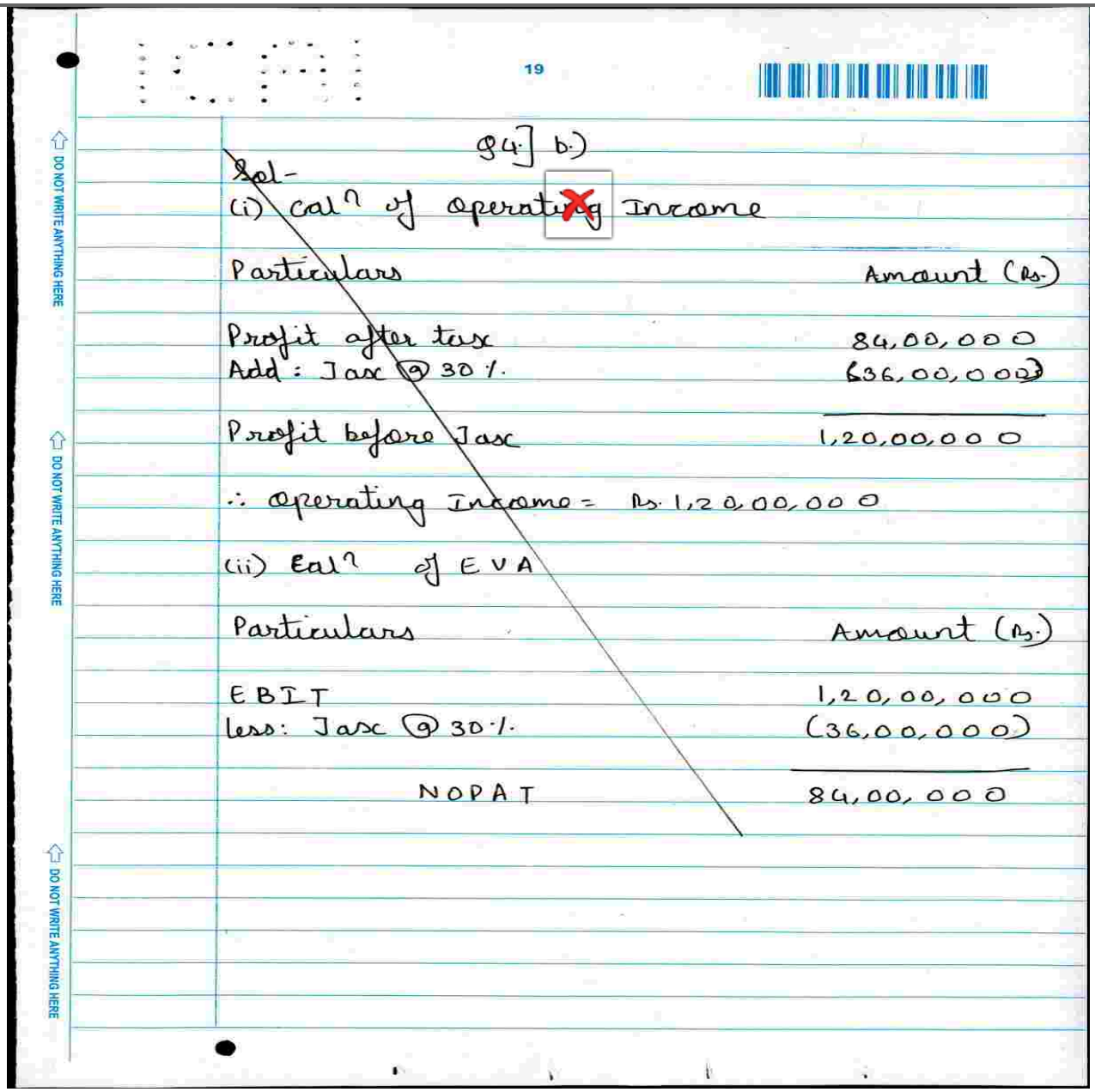
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19

Q4] b.)

Sol-

(i) Cal^n of operating Income

Particulars	Amount (Rs.)
Profit after tax	84,00,000
Add: Tax @ 30 %.	36,00,000
Profit before Tax	1,20,00,000

∴ Operating Income = Rs. 1,20,00,000

(ii) Cal^n of EVA

Particulars	Amount (Rs.)
EBIT	1,20,00,000
less: Tax @ 30 %.	(36,00,000)
NOPAT	84,00,000

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20

Cal^{n} of Invested Capital

Particulars	Amount (Rs.)
Net Worth	2,00,00,000
Add: Long term Debt	4,00,00,000
Add: Unrecorded Intangible Asset	1,00,00,000
Invested Capital	7,00,00,000

$\beta_E = 1$ it is tandem to Market

$R_S = R_F + \beta(R_M - R_F)$
$= 10\% + 1(14\% - 10\%)$
$= 10\% + 4\%$
$\therefore R_S = 14\%$

EVA = NOPAT − WACC × Invested capital
= 84,00,000 − 14% × 7,00,00,000
∴ EVA = (14,00,000)

(ii)

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Q 4.] b.)

(i) Cal^n of operating Income

Particulars	Amount (Rs.)
PAT	84,00,000
Add: Tax @ 30%.	36,00,000
PBT	1,20,00,000
Add: Interest (4,00,00,000 × 10%.)	40,00,000
EBIT	1,60,00,000

∴ Operating Income = 1,60,00,000 ✔

(ii) Cal^n of EVA

EBIT	1,60,00,000
less: Tax @ 30%.	(48,00,000)
∴ NOPAT	1,12,00,000

Cal^n of Invested capital

Net Worth	2,00,00,000
+ Long Term Debt	4,00,00,000
+ Intangible not recorded	1,00,00,000
Invested capital	7,00,00,000

22

Cal^{n} of WACC

$R_E = 10\% + 1\,(14\% - 10\%)$

$\therefore R_E = 14\%$

$K_d = 10\% \times 70\% = 7\%$

$\therefore WACC = 14\% \times \frac{300L}{700L} + 7\% \times \frac{400L}{700L}$

$\therefore WACC = 10\%$ ✔

$EVA = 1,12,00,000 - 10\% \times 7,00,00,000$

$\therefore EVA = 42,00,000$ ✔

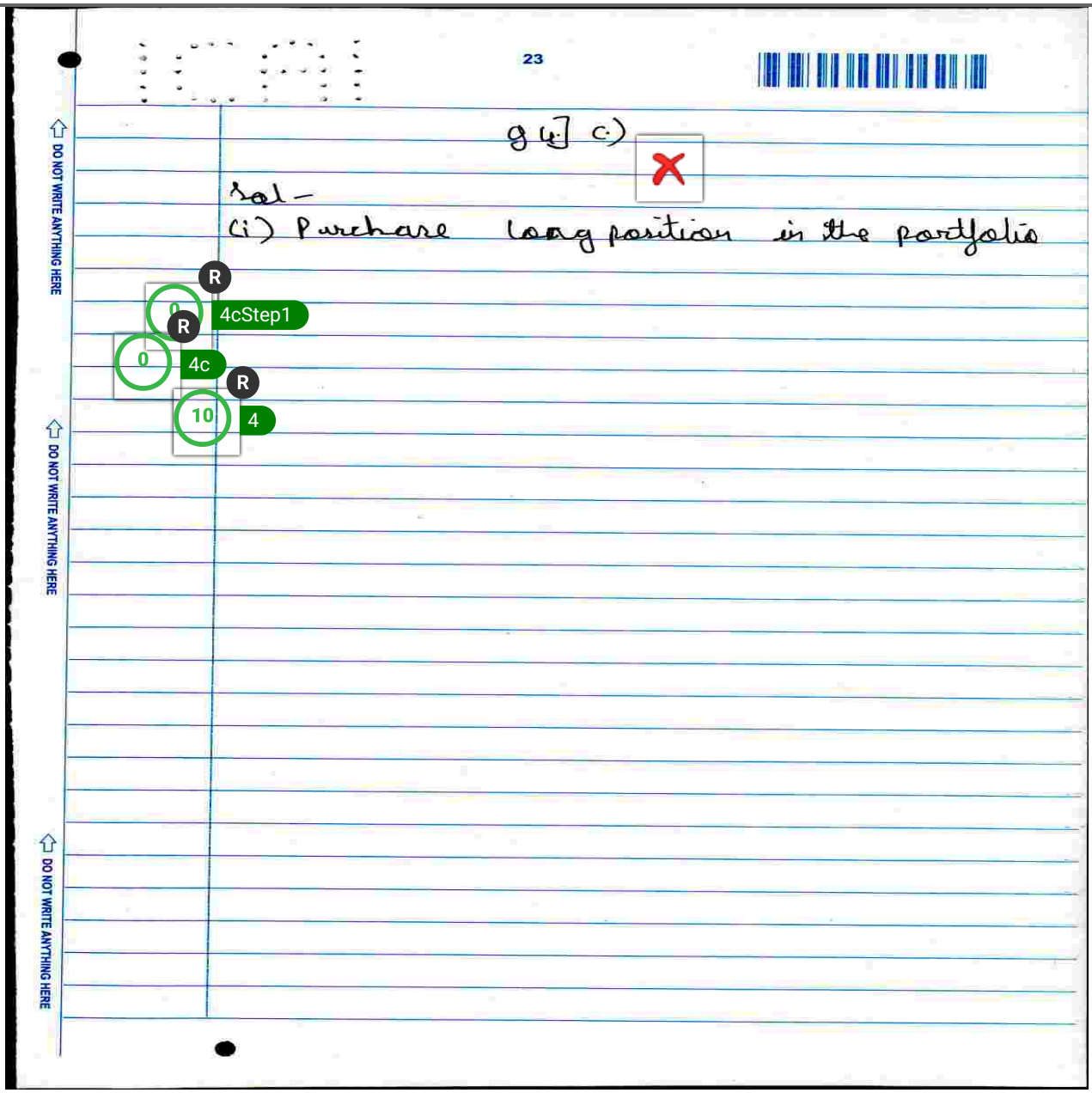
(iii) $\text{Dividend} = \frac{42,00,000}{7,00,000}$

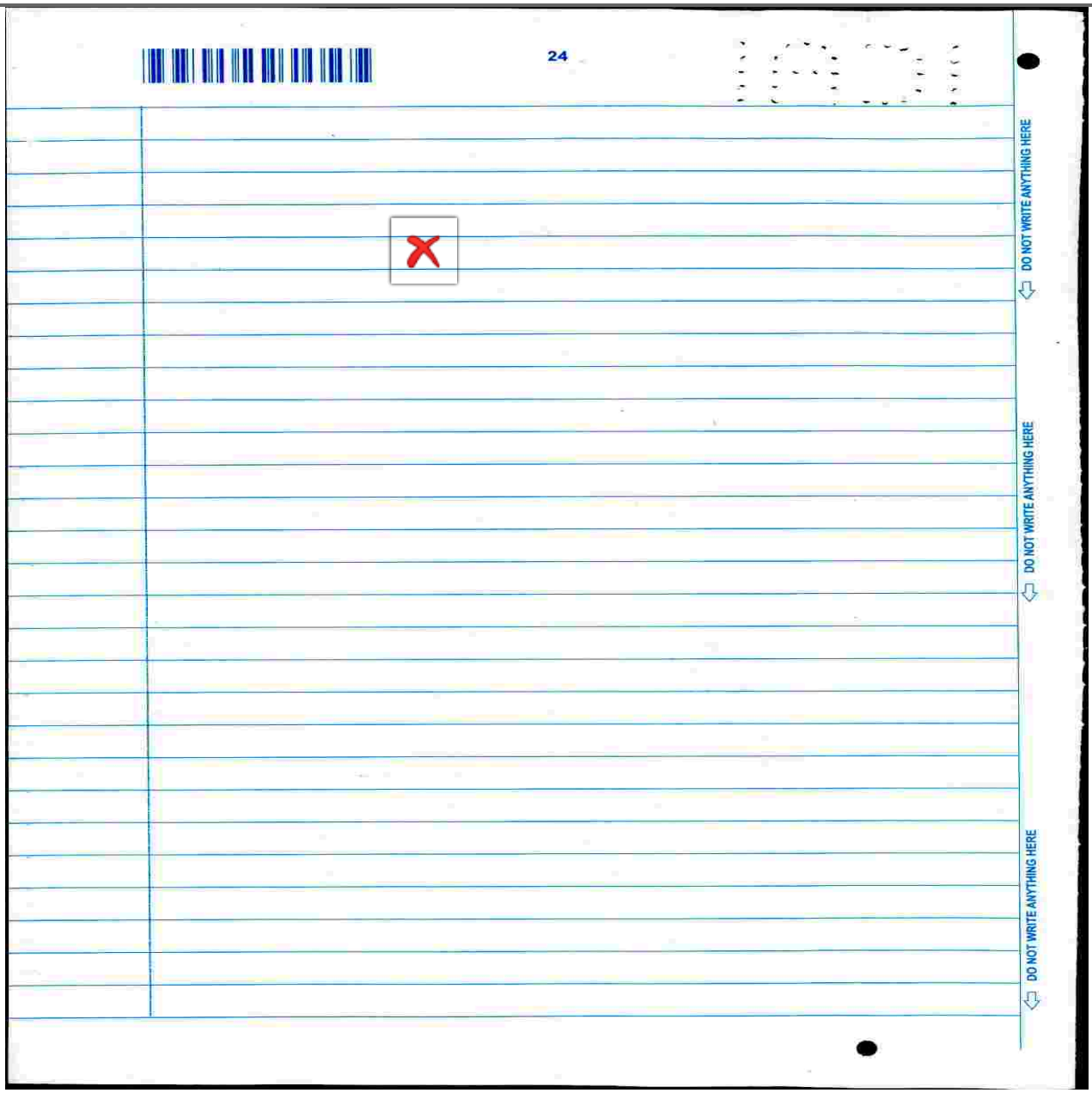
$\therefore \text{Dividend} = 6$ ✔

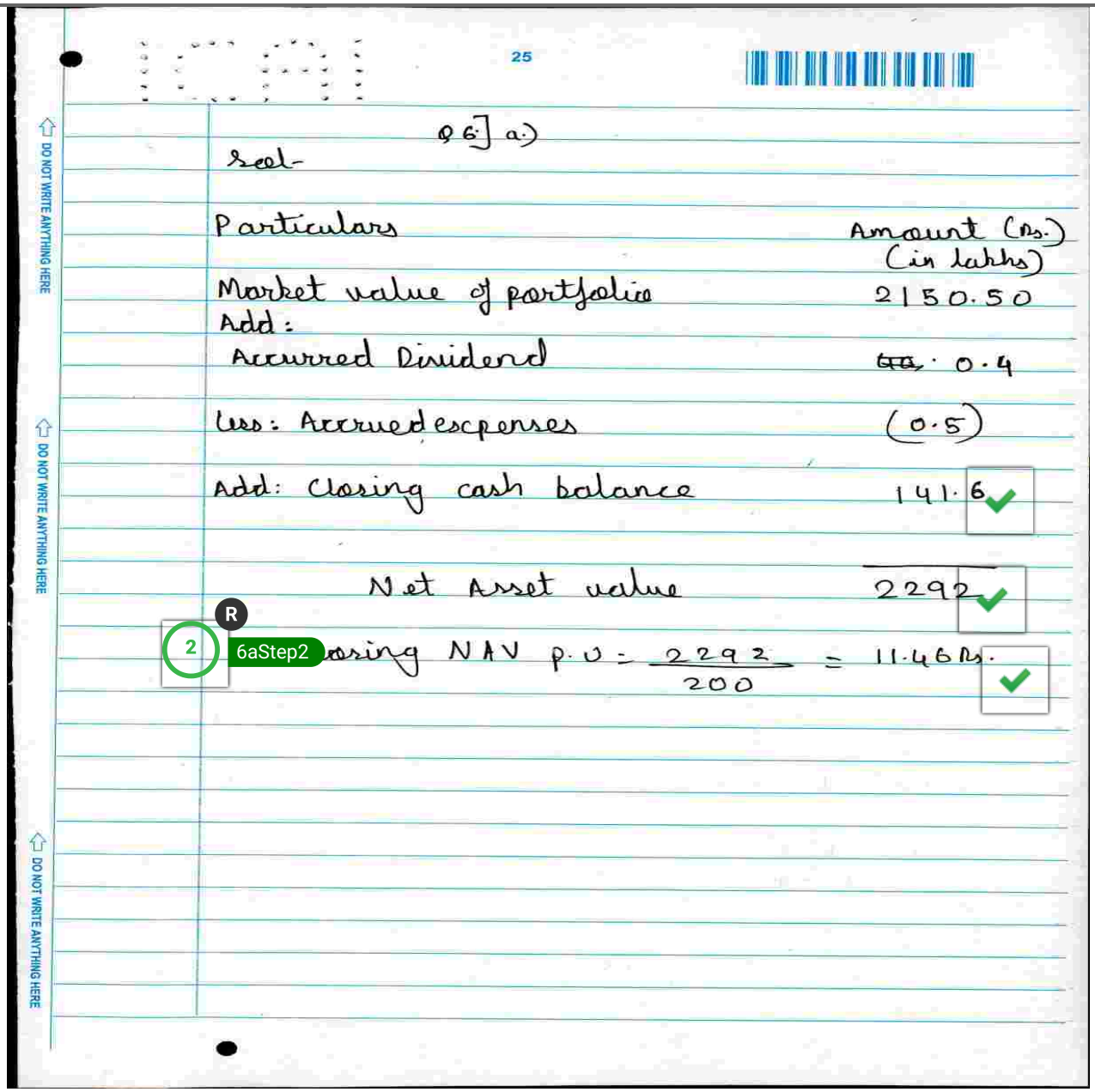
→ Note: It is assumed that Interest on long term debt is same as Government Bond.

R 4 4b ep1 R 4 4b

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23
g (4) c)
Sol-
(i) Purchase long position in the portfolio
DO NOT WRITE ANYTHING HERE
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R
0
4cStep1
R
0
4c
R
10
4


24
DO NOT WRITE ANYTHING HERE
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25

Q 6] a)

Real-

Particulars	Amount (Rs.) (in lakhs)
Market value of portfolio	2150.50
Add:	
Accurred Dividend	0.4
Less: Accrued escpenses	(0.5)
Add: Closing cash balance	141.6
Net Asset value	2292

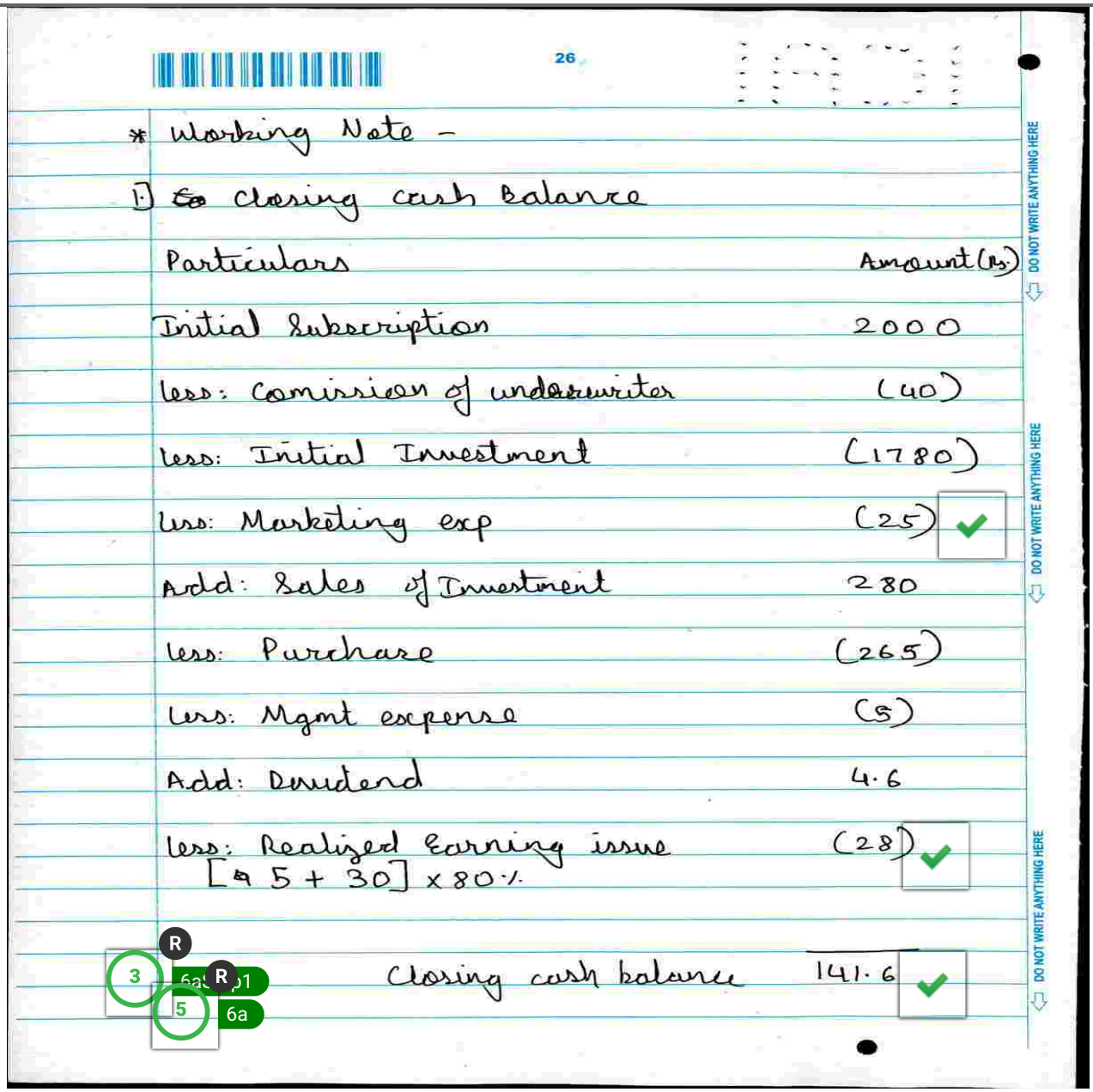
R

2 6aStep2 osing NAV p.u = $\frac{2292}{200}$ = 11.46 Rs.

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26

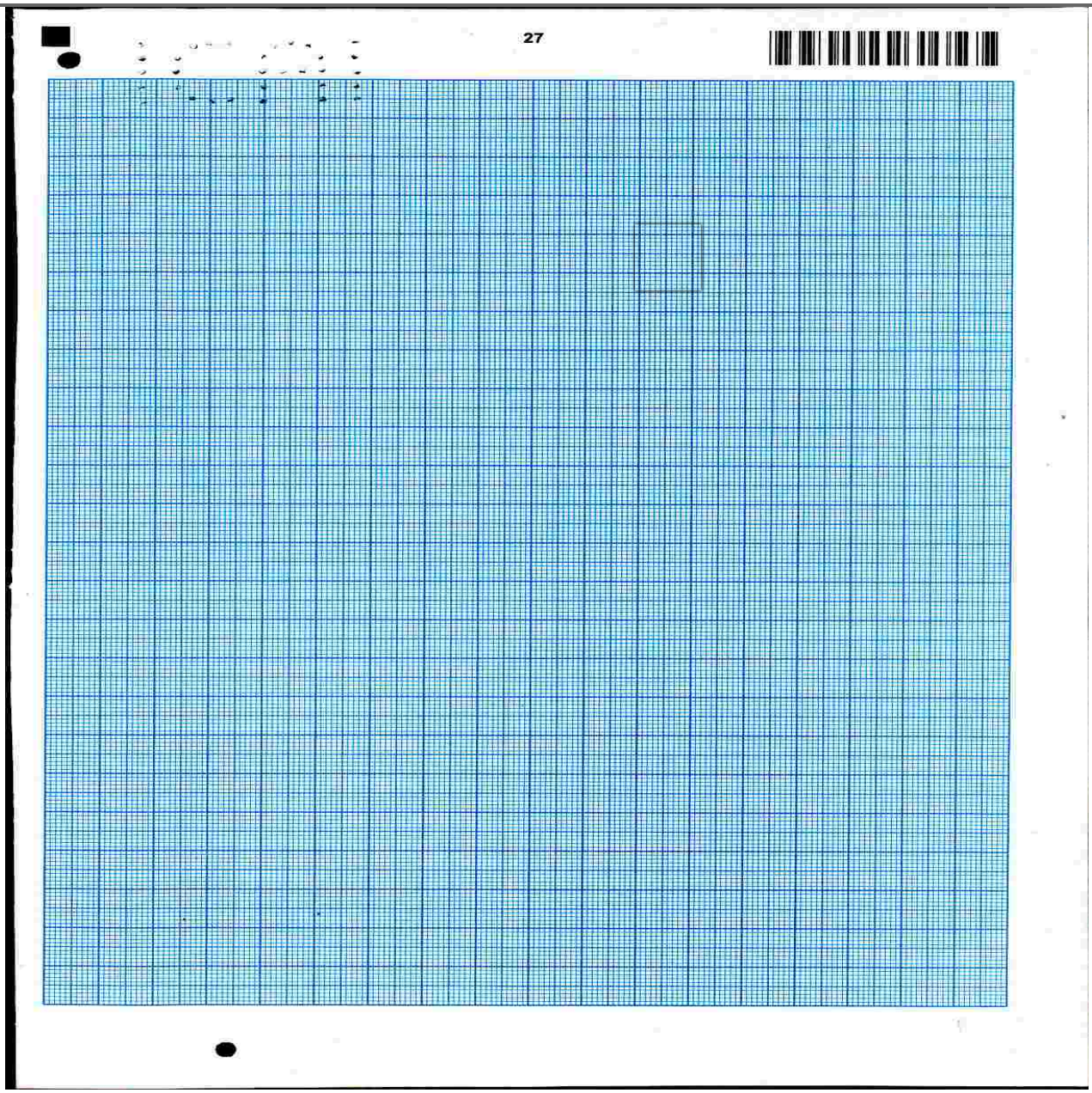
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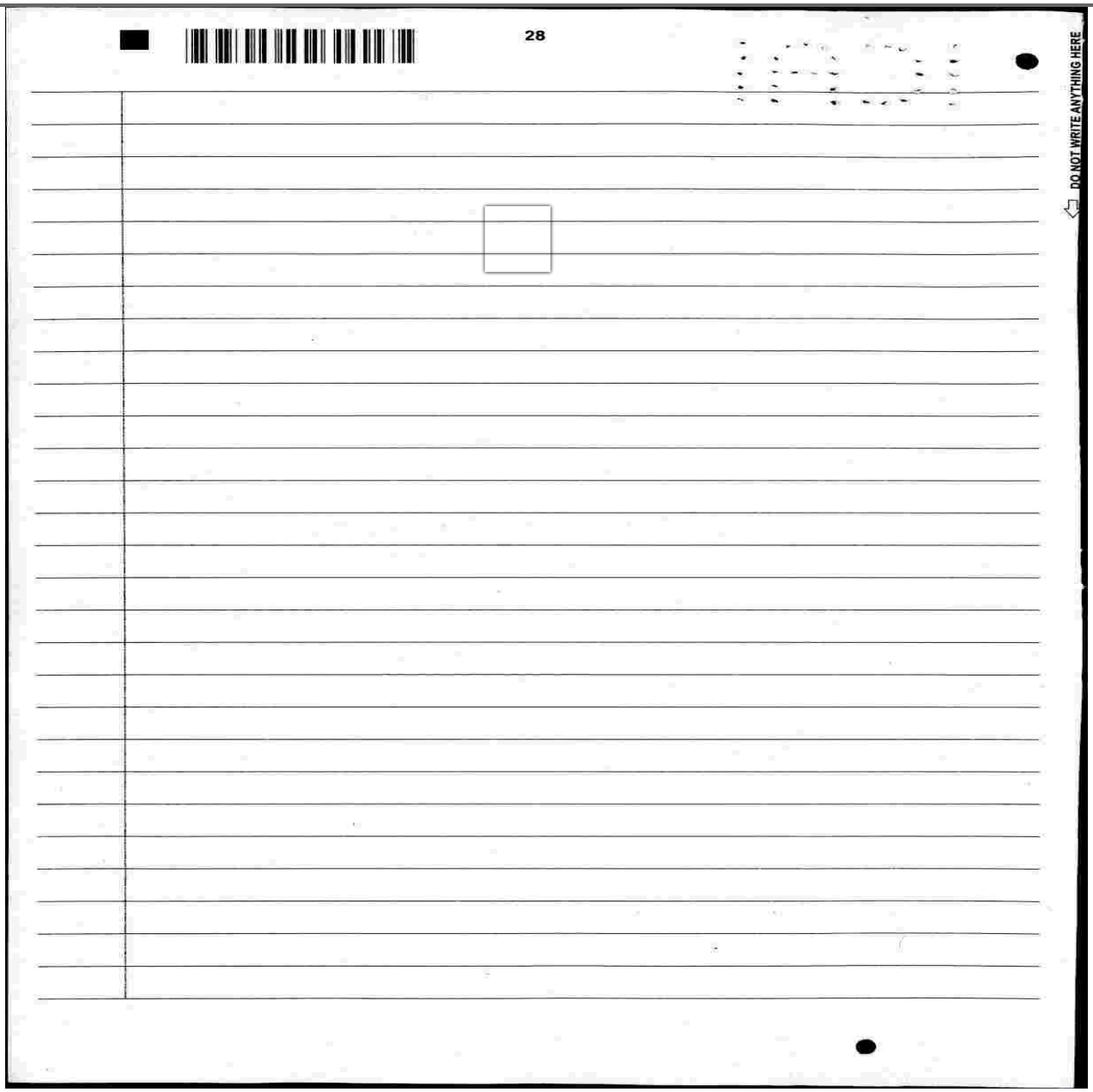
1.] Closing cash Balance

Particulars	Amount (Rs.)
Initial Subscription	2000
less: Comission of underwriter	(40)
less: Initial Investment	(1780)
less: Marketing exp	(25)
Add: Sales of Investment	280
less: Purchase	(265)
less: Mgmt expense	(5)
Add: Dividend	4.6
less: Realized Earning issue [@ 5 + 30] x 80%	(28)
Closing cash balance	141.6

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Subject : 02 Advanced Financial Management Marks Obtained : 48




28
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2176736-01

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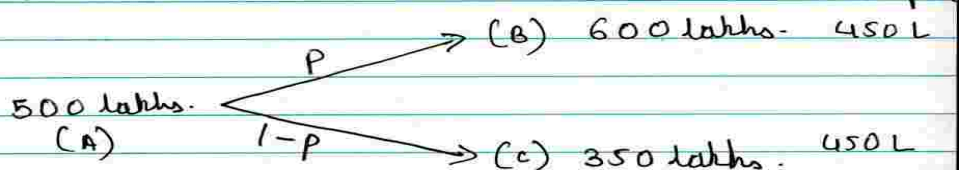
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ADDL. BOOK

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Q6] b)

Sol-



Pay off at Node B = 0
Pay off at Node C = 100 lakhs.

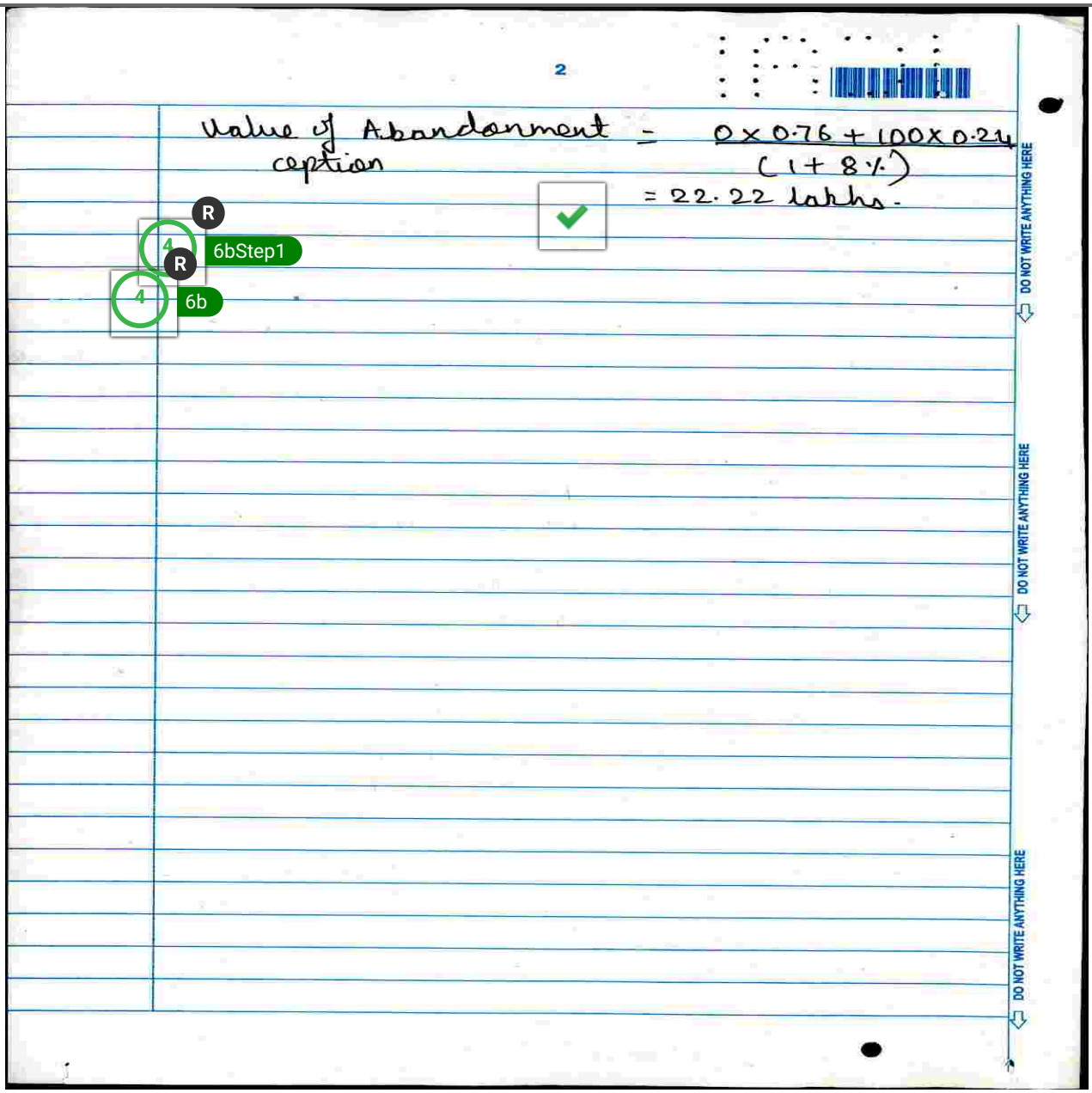
$$p = \frac{(1 + R \times t) - d}{u - d} = \frac{(1 + 8\%) - 0.7}{1.2 - 0.7}$$

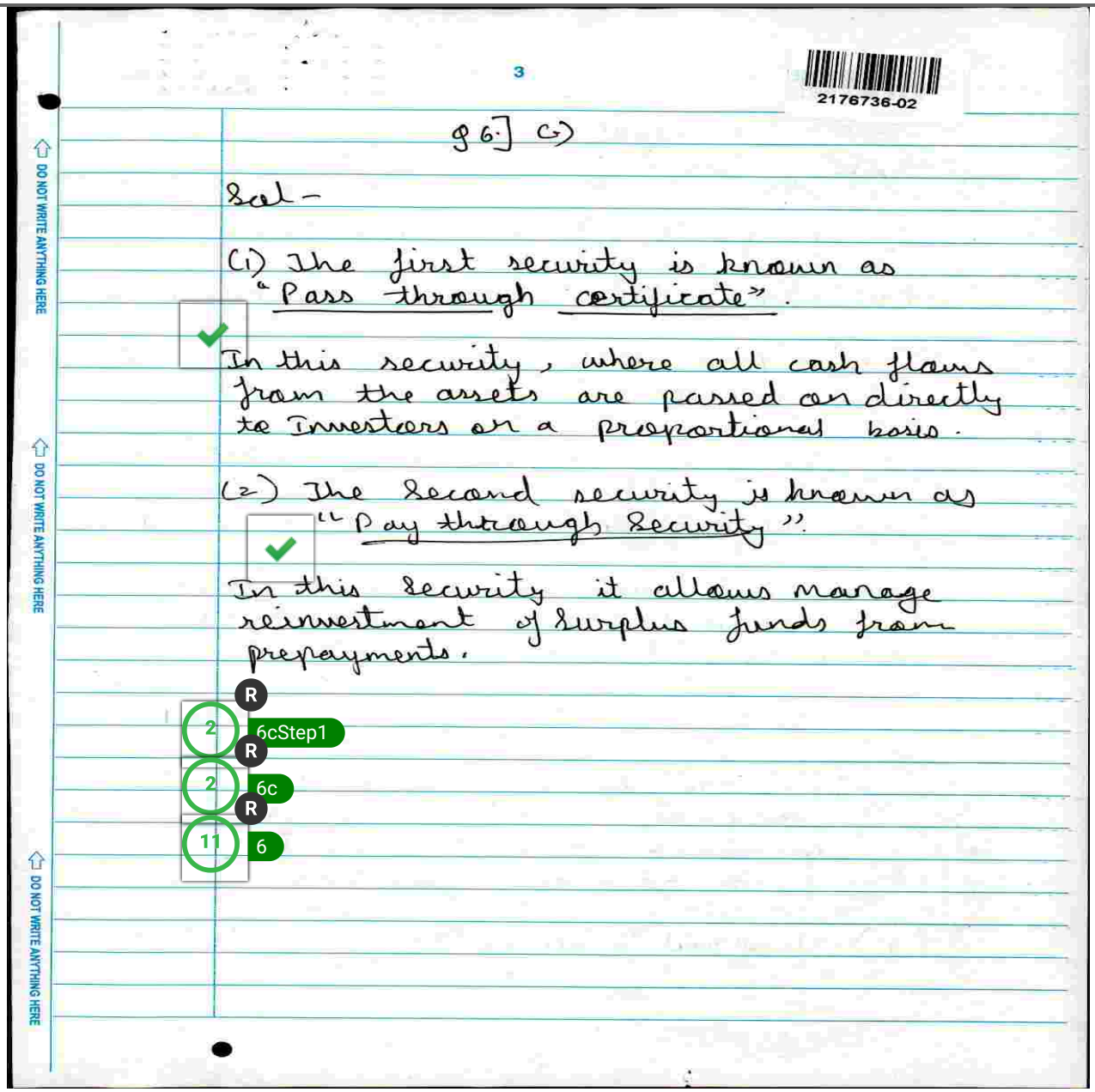
$\therefore p = 0.76$

$\therefore 1 - p = 0.24$

$$u = \frac{600}{500} = 1.2$$

$$d = \frac{350}{500} = 0.7$$


2
Value of Abandonment option = 0 × 0.76 + 100 × 0.24 / (1 + 8%)
= 22.22 lakhs.
R
4
6bStep1
R
4
6b
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3

2176736-02

Q 6.] c)

Sol -

(i) The first security is known as "Pass through certificate".

In this security, where all cash flows from the assets are passed on directly to Investors on a proportional basis.

(ii) The second security is known as "Pay through Security".

In this security it allows manage reinvestment of surplus funds from prepayments.

R
2 6cStep1
R
2 6c
R
11 6

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4

Q2] a)

Seal-

(i) Cash outflow if paid immediately

Particulars	Amount (Rs.) (in cr.)
Invoice Amount ($0.8 cr. × 66.98)	53.584
less: Discount	(0.5358)
Payment to Supplier	53.0481
less: Cash available	(0.25)
Loan to be taken	52.7982 ✔
Add: Interest @ 9% p.q	1.1880
Total	53.9861

∴ Total cash outflow = 53.9861 + 0.25
Immediately = 54.2361 ✔
~~less: Interest @ 4%~~ ~~(0.5424)~~
~~Total outflow~~ ~~53.6938~~

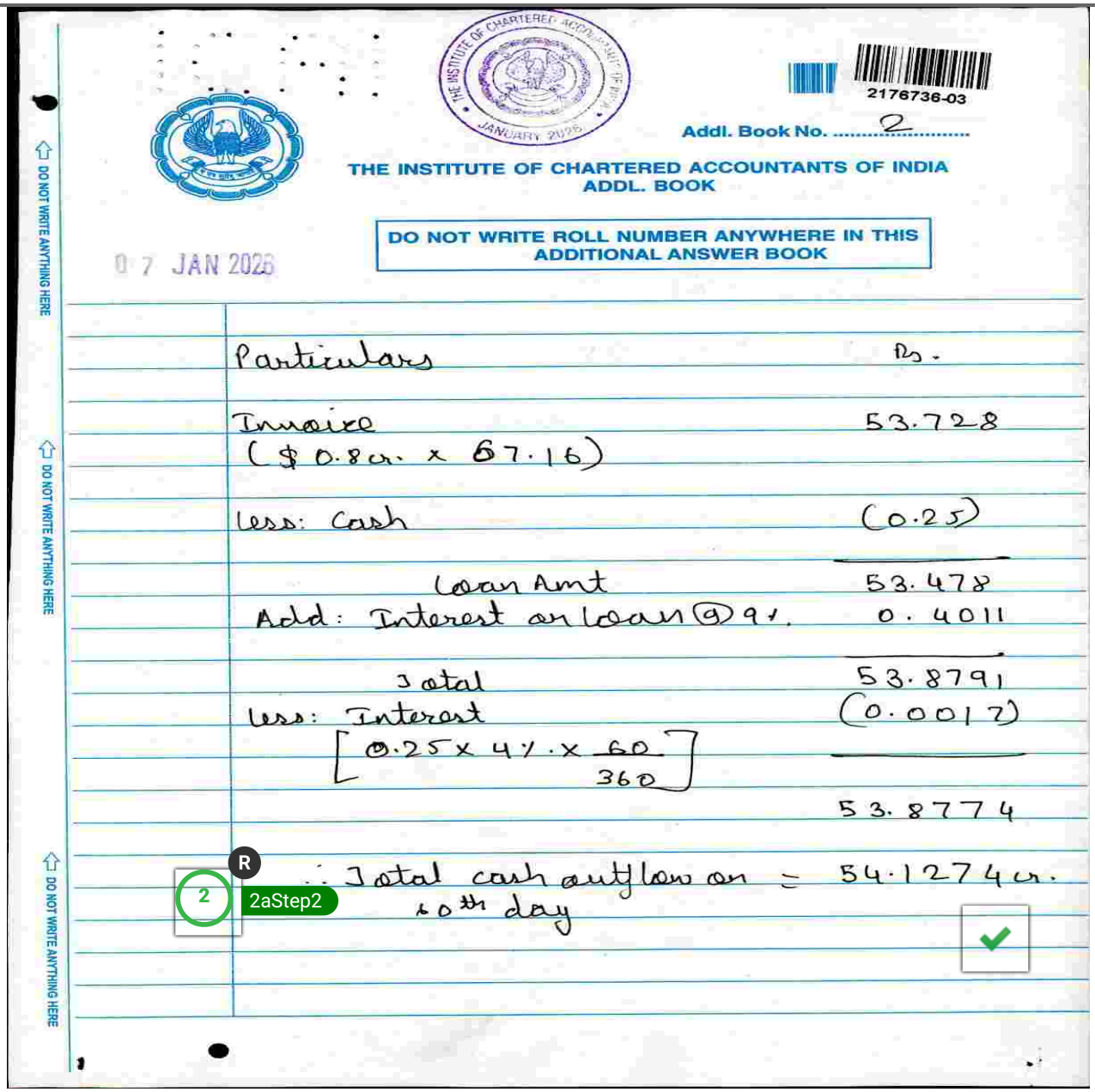
R
2 2aStep1

(ii) If paid on 60th day

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Subject :	**02 Advanced Financial Management**	**Marks Obtained :**	**48**



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ADDL. BOOK

Addl. Book No. 2

2176736-03

DO NOT WRITE ROLL NUMBER ANYWHERE IN THIS ADDITIONAL ANSWER BOOK

07 JAN 2026

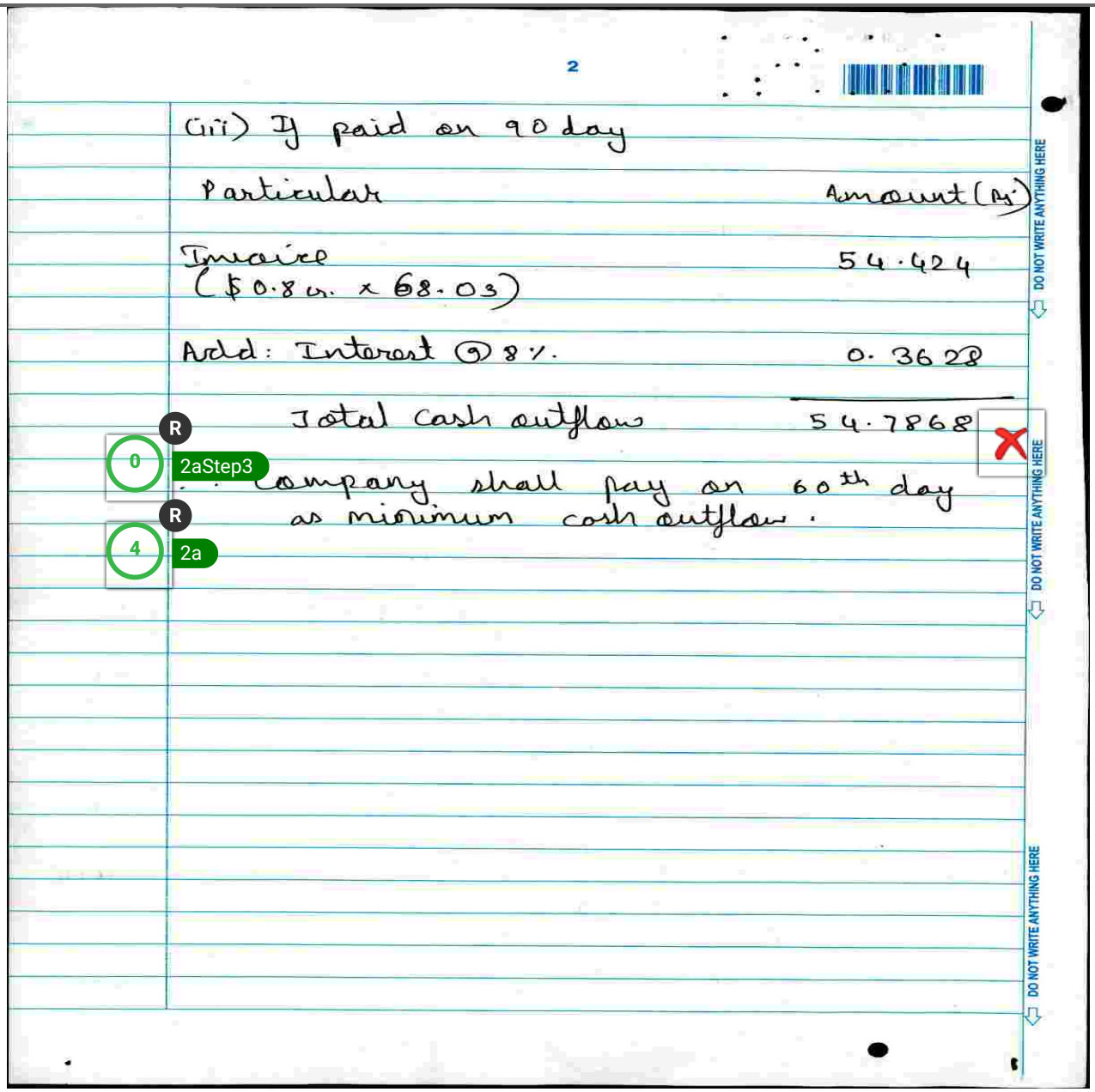
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Particulars	Rs.
Invoice ($0.8 cr. x 67.16)	53.728
less: Cash	(0.25)
Loan Amt	53.478
Add: Interest on loan @ 9%.	0.4011
Total	53.8791
less: Interest [0.25 x 4% x 60/360]	(0.0017)
	53.8774

∴ Total cash outflow on 60th day = 54.1274 cr.

R

2 2aStep2



2

(iii) If paid on 90 day

Particular	Amount (₹)
Invoice ($0.8 m. × 68.03)	54.424
Add: Interest @ 8%.	0.3628
Total Cash outflow	54.7868

∴ Company shall pay on 60th day as minimum cash outflow.

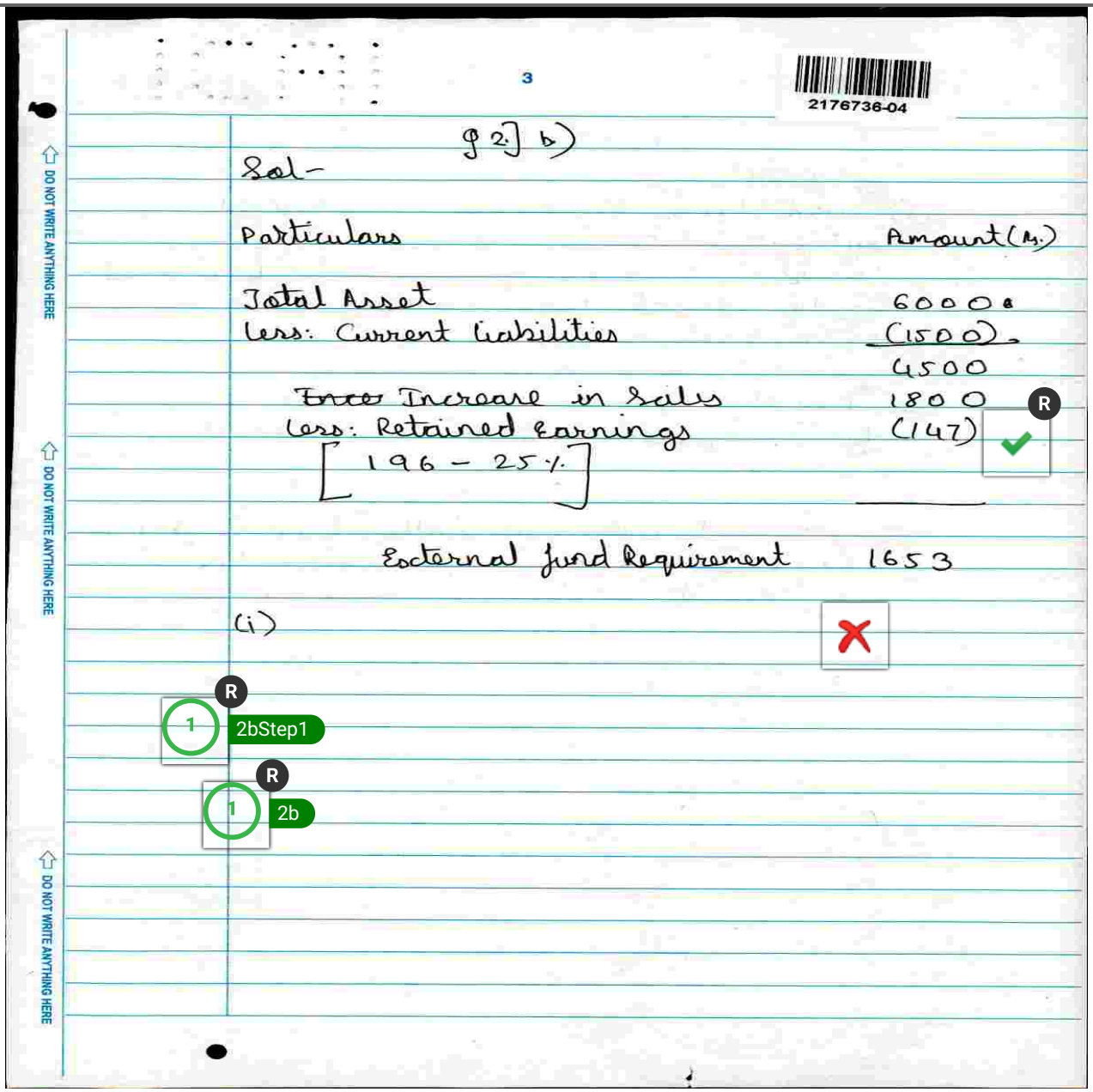
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2176736-04

Q 2] b)

Sol-

Particulars	Amount (Rs.)
Total Asset	6000
Less: Current Liabilities	(1500)
	4500
Incr Increase in Sales	1800
Less: Retained Earnings [196 - 25%]	(147)
External fund Requirement	1653

(i)

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R 1 2bStep1

R 1 2b

4

Q 2.] c.)

(i) Underlying Asset unde financial options is equity, Interest, etc. whereas in real option underlying asset is the project the company wants to Invest. ✓

(ii) Payoff under Real option when the future expected price is more than strike price ~~xxx~~ ✗

(iii) In Real option generally exercise period ✓ is more than 1 yrs. whereas in financial option it is generally 3 or 6 m or 1 yr.

(iv) Approach to hedge the Risk of Investment. ✗

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